Session 24: Revenue Recognition III: Case Study, General Dynamics and Ford's Transition to ASC606/IFRS15

By the end of this session you must be able to identify which transition method a company used from its own disclosures, explain how the full retrospective and modified retrospective methods differ in their effect on prior-period comparability and on the current opening retained earnings balance, and connect a real transition's dollar impact back to the specific revenue-recognition change that drove it.

Plan

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1. The Case Setup: Two Numbers, Two Methods

- The case is built around a single striking contrast drawn from the two companies' 2017 annual reports (among the small group of early adopters of the new revenue standard for calendar-year 2017): General Dynamics' beginning-of-year retained earnings was adjusted **down by $684 million**, while Ford's was adjusted **up by $36 million**: both a direct result of first-time adoption of ASC606/IFRS15.
- Understanding why the two numbers move in opposite directions, and why one appears as a "beginning of year" adjustment while the case treats the other differently, is the whole point of the session: it requires understanding both revenue mechanics (Sessions 22-23) and the transition-method choice.

2. The Two Transition Methods, Formally

Full retrospective method: the company fully restates its prior comparative-period financial statements as if the new standard had always applied. A company adopting for its 2017 statements would restate 2016 and 2015 as well, so all periods presented are prepared on a like-for-like basis.

Modified retrospective method: the company does **not** restate prior-period financial statements. Instead, it records a one-time cumulative-effect adjustment directly to the **opening balance of retained earnings** in the year of adoption, as if the new standard had always applied, and prior periods continue to be presented under the old standard. Additionally, for the year of adoption, the company must disclose what the financial statement amounts would have been under the old revenue recognition rules, for comparability.

- Both methods are permitted. Both aim to reflect the cumulative effect of the new standard, but full retrospective spreads that effect across the restated historical periods (so each individual year's figures change), whereas modified retrospective concentrates the entire cumulative effect into a single opening-balance adjustment (so no historical year's previously reported figures change at all).

3. General Dynamics: Full Retrospective, −$684 Million

- General Dynamics' own accounting policy note states plainly: "We adopted ASC Topic 606 on January 1, 2017, **using the retrospective method**."
- This is directly confirmed by its financial statements, where the 2015 and 2016 Consolidated Statements of Earnings are shown restated (not merely disclosed as a memo item), and its 2017 income statement explicitly notes "Prior-period information has been restated for the adoption of ASC Topic 606."

What actually changed for General Dynamics: the new standard had two primary impacts. First, adjustments to profit already recorded on a contract are now recognised immediately in the period identified ("cumulative catch-up" method), rather than spread prospectively over the remaining contract term. Second, the larger driver, for business-jet aircraft contracts (Aerospace group), revenue is now recognised at a **single point in time** when control transfers to the customer (generally upon delivery and acceptance of the fully outfitted aircraft), whereas previously the company recognised revenue at **two contractual milestones**: when the "green" (unfinished) aircraft was completed and accepted, and again when the customer accepted final delivery of the fully outfitted aircraft.

Why this specific change reduced retained earnings: recognising revenue at two milestones (partial recognition at the green-aircraft stage, before delivery) is *earlier* and more front-loaded than recognising it all at a single point (final delivery). Moving from the old two-milestone approach to the new single-point-at-delivery approach therefore *defers* revenue (and the associated profit) that had previously already been recognised on aircraft not yet delivered. This reversal of previously-recognised profit is exactly what produces a *negative* cumulative-effect adjustment to opening retained earnings.

The numbers, reconciled: the cumulative effect was first recognised as a $372 million decrease to retained earnings on 1 January 2015 (the earliest period restated under the full retrospective method). The subsequent restated periods then show the standard's ongoing effect on annual earnings: 2015 net earnings increased by $71 million under the new standard (as reported in the "Effect of the Adoption" reconciliation column), while 2016 net earnings decreased by $383 million. Combining these: −372 + 71 − 383 = **−$684 million**: precisely the cumulative retained earnings adjustment shown at 31 December 2016 (the balance that becomes the 1 January 2017 opening balance for the "as reported" 2017 statements), where retained earnings moved from $25,227 million "as reported" (under the old standard) to $24,543 million "as adjusted" (under ASC606).

Must know (General Dynamics' revenue recognition profile, per its own Note B):
• 71% of 2017 revenue was recognised **over time** (72% in 2016, 68% in 2015), substantially all of it in the defense groups, using costs incurred to date relative to total estimated costs at completion (an input/cost-to-cost progress method) as the measure of progress
• 29% of 2017 revenue was recognised **at a point in time** (28% in 2016, 32% in 2015), mainly business-jet aircraft in the Aerospace group, recognised on delivery and customer acceptance

4. Ford: Modified Retrospective, +$36 Million

- Ford's own note states: "we adopted the new accounting standard ASC606… to all contracts **using the modified retrospective method**. We recognized the cumulative effect of initially applying the new revenue standard as an adjustment to the opening balance of retained earnings. **The comparative information has not been restated** and continues to be reported under the accounting standards in effect for those periods."
- This is the opposite transition choice from General Dynamics, and it shows in the financial statements: Ford's 2015 and 2016 income statements are presented exactly as originally reported, with no restated columns.

What actually changed for Ford: for certain vehicle sales where revenue was previously deferred, vehicles subject to a guaranteed resale value (accounted for similarly to a lease) and transactions where a Ford-owned entity delivered the vehicles, Ford now recognises revenue **when vehicles are shipped**, in line with the new standard's control-transfer principle, rather than deferring it as before.

Why this specific change increased retained earnings: accelerating recognition of previously-deferred revenue (recognising it at shipment instead of later) means that revenue which, under the old rules, would still have been "on hold" as of the transition date is instead treated as if it had already been earned. A one-time *pull-forward* of previously deferred amounts into the cumulative-effect adjustment, producing a *positive* effect on opening retained earnings, the opposite direction from General Dynamics' delivery-milestone change.

The numbers: Ford's balance sheet reconciliation shows retained earnings moving from $15,634 million at 31 December 2016 to $16,200 million at 1 January 2017, via two separate cumulative-effect adjustments: $530 million from ASU2016-09 (a stock-compensation standard, unrelated to revenue) and **$36 million** from ASU2014-09/ASC606 (the revenue standard): 15,634 + 530 + 36 = 16,200. The $36 million figure the case highlights is specifically the ASC606 component, isolated from the unrelated stock-compensation change bundled into the same adoption-date balance sheet.

5. Why Adoption Method Matters for Financial Statement Analysis

- The case's fourth reflection question, what care an analyst needs when comparing the two companies, has a direct answer rooted in Sections 3-4: because General Dynamics restated its historical financial statements (full retrospective) while Ford did not (modified retrospective), an analyst comparing year-over-year trends, ratios, or growth rates for the two companies around the 2017 transition must be careful that "2016" means genuinely different things for each, a restated, ASC606-basis 2016 for General Dynamics, versus an as-originally-reported, pre-ASC606-basis 2016 for Ford.
- Naively comparing trend lines across the transition year without accounting for this difference in transition method risks drawing spurious conclusions about which company's underlying revenue actually grew or shrank.

6. Assignment Questions Framework

Must know (how to structure a case answer, from the session outline's assignment questions):
• **Early adopter?** Both General Dynamics and Ford were among the small group of early adopters for calendar year 2017 (the standard was not mandatory until periods beginning after 15 December 2017)
• **Adoption method:** General Dynamics = full retrospective (restated 2015 and 2016). Ford = modified retrospective (no restatement, single cumulative catch-up to opening 2017 retained earnings)
• **Application of the five-step model:** General Dynamics' business-jet contracts shifted from two-milestone recognition to single point-in-time recognition at delivery (Step 5, point in time vs. over time). Ford's guaranteed-resale-value and Ford-owned-entity vehicle sales shifted from deferred recognition to recognition at shipment (also a Step 5 timing question, driven by when control transfers)
• **Cumulative effect on retained earnings:** General Dynamics −$684 million (spread across the restated 2015/2016 figures plus the original 2015 catch-up). Ford +$36 million (isolated cumulative-effect line in the 1 January 2017 opening balance reconciliation)
• **Main drivers of each effect:** General Dynamics, moving business-jet revenue recognition *later* (from two milestones to one, at final delivery) deferred previously-recognised profit, reducing retained earnings. Ford, moving certain vehicle-sale revenue recognition *earlier* (to shipment, from a previously deferred point) accelerated previously-deferred revenue, increasing retained earnings

7. Common Mistakes and Exam Traps

- Assuming a negative cumulative-effect adjustment means a company did something wrong, or a positive one means favourable news. The sign simply reflects whether the new standard defers revenue that used to be recognised earlier (negative) or accelerates revenue that used to be deferred (positive). It says nothing about earnings quality on its own.
- Confusing which company used which transition method by the size or sign of the dollar figure. The method (full vs. modified retrospective) is a disclosed policy choice, entirely independent of whether the resulting adjustment happens to be large or small, positive or negative.
- Treating Ford's $530 million ASU2016-09 adjustment as part of the revenue-standard effect. It is a separate, unrelated stock-compensation standard adopted on the same date. Only the $36 million line is attributable to ASC606.
- Assuming full retrospective and modified retrospective produce different *total* cumulative effects. They do not. They differ only in *how* that same cumulative effect is displayed (spread across restated prior periods, vs. concentrated in one opening-balance adjustment). Both approaches are measuring the same underlying accounting change.
- Comparing General Dynamics' and Ford's post-2017 trend lines without noting that only one of them restated prior periods. Doing so silently mixes a restated and a non-restated basis in the same comparison.

8. Must Know Absolutely

Must know:
• Full retrospective: restates all prior comparative periods presented, so every historical year shown is on the new-standard basis
• Modified retrospective: no restatement of prior periods. A single cumulative-effect catch-up hits opening retained earnings in the adoption year, plus a required disclosure of what results would have been under the old rules
• General Dynamics (full retrospective, −$684m): business-jet contracts moved from two-milestone revenue recognition to single point-in-time recognition at delivery, deferring previously-recognised profit
• Ford (modified retrospective, +$36m): certain previously-deferred vehicle sales (guaranteed resale value, Ford-owned-entity deliveries) moved to recognition at shipment, accelerating previously-deferred revenue
• Analytical care needed: comparing companies that used different transition methods around the adoption year mixes restated and non-restated historical bases